Ironwood Direct Lending Fund III, L.P.

Financial Statements

For the Year Ended December 31, 2024

Auditor: Halstead & Quill LLP • Administrator: Beacon Credit Administration, LLC

Functional Currency: U.S. Dollars (USD)

Report of Independent Auditors

To the Partners of Ironwood Direct Lending Fund III, L.P.:

We have audited the accompanying financial statements of Ironwood Direct Lending Fund III, L.P. (the "Fund") as of and for the year ended December 31, 2024. In our opinion, the financial statements present fairly, in all material respects, the financial position of the Fund in accordance with U.S. GAAP, including ASC 946. Loans held for investment are measured at amortized cost net of an allowance for credit losses under ASC 326.

Halstead & Quill LLP

Chicago, Illinois March 25, 2025

Statement of Assets and Liabilities

As of December 31, 2024

Assets

Loans, at amortized cost, net of allowance for credit losses	$238,200,000
Cash and cash equivalents	$14,500,000
Interest receivable	$3,800,000
Total assets	**$256,500,000**

Liabilities

Subscription credit facility	$35,000,000
Accrued expenses and other liabilities	$2,500,000
Total liabilities	**$37,500,000**
Total partners’ capital (net assets)	**$219,000,000**

Statement of Operations

For the Year Ended December 31, 2024

Investment income	
Interest income (including PIK)	$21,400,000
Other fee income (OID accretion and amendment fees)	$1,600,000
Total investment income	**$23,000,000**
Expenses	
Management fee	$3,600,000
Interest expense (subscription facility)	$1,900,000
Professional fees and other	$1,300,000
Total expenses	**$6,800,000**
Net investment income	**$16,200,000**
Net realized loss on loans	($600,000)
Net increase in net assets from operations	**$15,600,000**

Statement of Changes in Partners’ Capital

For the Year Ended December 31, 2024

Partners’ capital, beginning of year	$171,400,000
Capital contributions	$50,000,000
Distributions	($18,000,000)
Net increase from operations	$15,600,000
Partners’ capital, end of year	**$219,000,000**

Schedule of Investments (Loans)

As of December 31, 2024   senior secured loans, Level 3 in the fair value hierarchy

Borrower / Sector	Amortized Cost
Brookfield Equipment Rental Industrials par $60,000,000 • SOFR + 650 • Performing	$59,200,000
Coastal Senior Living Healthcare par $48,000,000 • SOFR + 700 • Performing	$47,400,000
Apex Packaging Industrials par $42,000,000 • SOFR + 625 • Performing	$41,500,000
Riverton Software Software par $38,000,000 • SOFR + 600 (+2% PIK) • Performing	$37,600,000
Glenmore Foods Consumer par $30,000,000 • SOFR + 675 • Performing	$29,700,000
Hartwell Auto Parts Industrials par $24,000,000 • SOFR + 725 • Non-accrual	$22,800,000
Total par value	$242,000,000
Total amortized cost	**$238,200,000**

Notes to the Financial Statements

Note 1 Organization

Ironwood Direct Lending Fund III, L.P. is a Delaware limited partnership formed to originate senior secured loans to U.S. middle-market borrowers. The general partner is Ironwood Credit Advisors III, LLC. Total commitments are $400,000,000, of which $300,000,000 had been called as of December 31, 2024, leaving $100,000,000 uncalled.

Note 2 Significant Accounting Policies

The Fund follows ASC 946. Loans held for investment are carried at amortized cost, net of an allowance for credit losses determined under ASC 326 (CECL). Original issue discount and amendment fees are accreted into income over the life of each loan using the effective interest method.

Note 3 Subscription Credit Facility

The Fund maintains a $75,000,000 subscription credit facility secured by uncalled capital commitments. As of December 31, 2024, $35,000,000 was drawn. The facility bears interest at SOFR plus 2.25%.

Note 4 Non-Accrual Loans

As of December 31, 2024, the loan to Hartwell Auto Parts (amortized cost $22,800,000) was placed on non-accrual status. The Fund does not recognize interest income on non-accrual loans.

Note 5 Allowance for Credit Losses (ASC 326)

The Fund recorded an allowance for credit losses of $4,200,000 as of December 31, 2024, reflecting lifetime expected losses on the loan portfolio, concentrated in the non-accrual position. The allowance is presented as a reduction of the carrying amount of loans held for investment.

Note 6 Subsequent Events

The Fund has evaluated subsequent events through March 25, 2025. In February 2025, the Fund funded a new $20,000,000 senior secured loan. No other material subsequent events were identified.